SFISF: The Innovative Monetary Policy Tool in the Sept. 24th Monetary Easing Package of PBOC

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I. Introduction to Policy

1.1 Details of SFISF

On September 24th, 2024, the People's Bank of China (PBOC), the National Financial Regulatory Administration (NFRA), and the China Securities Regulatory Commission (CSRC) released a package of monetary easing policies in response to market concerns[1]. The central bank fully supported the economy in terms of the cost of funds, the supply of funds, and the availability of loans, boosting the confidence of the market and the real economy and effectively reducing liquidity risk.

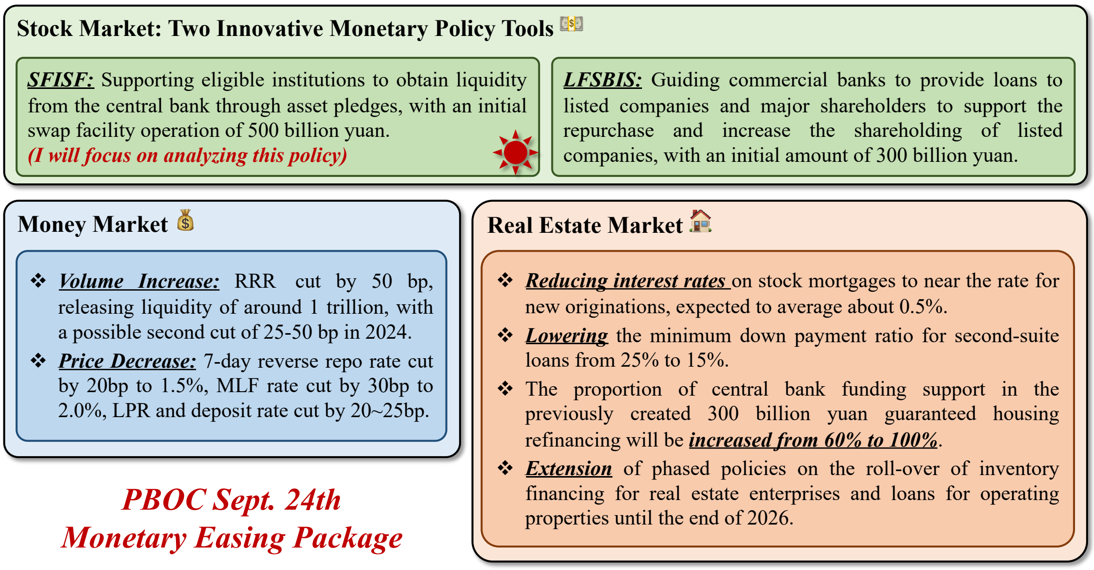

Figure 1. The monetary easing package of PBOC was released on Sept. 24th.

PBOC Governor Pan Gongsheng announced at the State Council Information Office press conference that the central bank would create new monetary policy tools to support the stable development of the stock market and boost investor confidence. The first one is the Securities, Funds and Insurance companies Swap Facility (SFISF). SFISF supports eligible securities, funds, and insurance companies to swap high-quality and high-liquidity assets such as treasury bonds and central bank bills from the central bank by pledging assets such as structured bonds, stock ETFs and CSI 300 constituent stocks, and the funds obtained can only be used to invest in the stock market. Through the swap facility, the ability of the relevant institutions to access funds and increase their stock holdings can be significantly enhanced. The scale of the swap facility is open, and it is planned that the scale of the first phase of the operation will be 500 billion yuan, which can be expanded in the future depending on the situation, if the policy is effective, there may be a second and third phase of 500 billion yuan. SFISF was officially implemented[2] on October 10th and the specific advancement of this policy is shown in Table 1.

[1] https://www.gov.cn/zhengce/202409/content_6976189.htm
[2] https://www.gov.cn/zhengce/202410/content_6979169.htm

Table 1. Advancement of swap facilitation[3].

Date	Organization	Event
Sept. 24th	PBOC	**Offer** to create a swap facility.
Oct. 10th	PBOC	**Creation of SFISF**, accepting applications from eligible companies.
Oct. 18th	PBOC CSRC	**Issue a circular**. CSRC agreed to 20 firms to carry out SFISF.
Oct. 21rd	PBOC	The **first operation** of SFISF with a size of \$50 billion. CICC receives the funds, and Guotai Junan submits the pledged assets.

The PBOC and the CSRC issued a circular on Oct. 18th, specifying the business process, operational elements, rights and obligations of both parties to the transaction, etc. The specific business process is shown in Figure 2, which presents the workflow of SFISF more clearly. The core includes swap operation, institutional financing, and institutional investment.

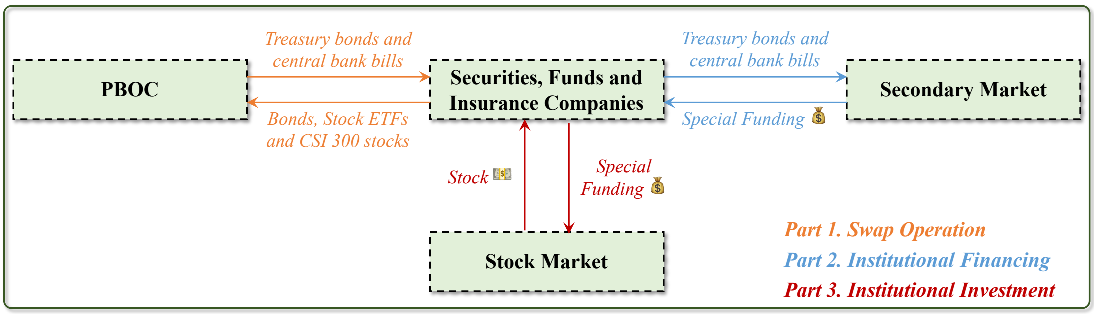

Figure 2. Business processes of SFISF.

1.2 Main Purpose of Policy

The core purpose of the monetary easing package announced on Sept. 24th is to create a favorable monetary and financial environment for stable economic growth and high-quality development in order to solve the problems faced in the second quarter of this year, such as the high pressure on local finances and the sluggish real estate market, and to achieve this year's GDP growth target.

The main purpose of the proposed SFISF is to promote the overall rehabilitation and further stabilization of the stock market and to support the entry of long-term capital into the market. Specifically, it can be divided into three aspects:

(1) While not expanding the scale of base money, SFISF allows non-banking companies to **improve their financing capacity** by *exchanging securities for securities*.

(2) Revitalizing the stock assets of non-banking institutions and enhancing the efficiency of capital utilization, while continuing to **bring incremental capital** to the stock market and **increasing the liquidity** of the stock market.

(3) **Boosting market confidence and active market sentiment**. With the stock market persistently low, SFISF is proposed to inject a large amount of capital into the market and boost the confidence of market participants.

[3] http://www.pbc.gov.cn/goutongjiaoliu/113456/113469/5481008/index.html

II. Policy Consequence

At present, this policy tool has been in place for only two months, and the short-term effects are more obvious, but the long-term effects are still not yet revealed. Here, I try to **theoretically** analyze the **Liquidity Effects** and **Policy Effects** of SFISF and further argue by presenting the short-term volatility data in the stock market.

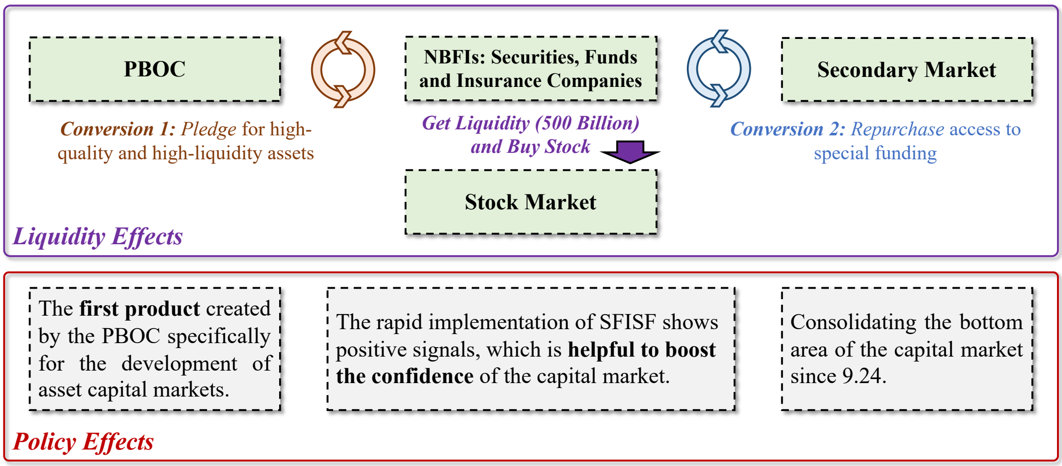

Figure 3. The framework for the policy consequence for SFISF.

2.1 Liquidity Effects

As shown in Figure 3, SFISF provides liquidity to non-bank financial institutions (NBFIs) in an indirect manner through two conversions, which in turn increases the ability of these institutions, especially securities firms, to increase their stock holdings, where:

(1) **Conversion 1:** NBFIs swap assets with different credit ratings, liquidity, risk levels, etc., for high-grade, high-liquidity treasury bonds or central bank bills through pledging. **The financing interest rate can be improved for subsequent financing.**

(2) **Conversion 2:** Treasury bonds and central bank bills obtained can only be used for repurchase financing in the interbank market, and the funds obtained from repurchase financing can only be used for investment in the capital market, which is limited to investment in stocks and stock ETFs and market making, thus **increasing the supply of funds in the secondary market**.

Through the SFISF's "pledge-repurchase" conversions, NBFIs will be able to utilize the highly liquid assets exchanged from the central bank for pledge financing, which will have an impact on the liquidity of the interbank bond market as well as the equity market, in particular:

(1) **Interbank Market:** NBFIs will use the highly liquid assets exchanged from the central bank as collateral to borrow funds from banks and other financial institutions, which is equivalent to an increase in the demand for funds in the interbank market, and may result in a short-term liquidity crunch. However, given that the first operation scale of SFISF is 500 billion yuan, the central bank can cover it through reverse repo placement, **so the overall liquidity impact on the interbank bond market is neutral**.

(2) **Stock Market:** The funds obtained by NBFIs through the swap facility can only be used to invest in the stock market, which is equivalent to providing an additional source of funds for the A-share market, thus **forming direct support for the supply of stock market liquidity**.

Overall, from the perspective of liquidity, **SFISF will release 500 billion yuan or more of liquidity for the stock market**. In the two conversions of "pledge-repurchase", the central bank is not directly involved in the purchase of stocks or ETFs, which does not involve an increase in the injection of base money. From this point of view, the **SFISF can be viewed as a bottoming monetary tool for the central bank to enhance the liquidity of the stock market** without injecting narrow money.

2.2 Policy Effects

The SFISF is the **first product** created by the PBOC specifically for the development of asset capital markets. The central bank also made it clear that the size of the fund can be increased subsequently, indicating that the central bank has sufficient reserves in its "toolbox", adequate sources of funds, and the ability, willingness, and motivation to invest in the capital market. **The rapid implementation of SFISF shows positive signals, which is very helpful to boost the confidence of the capital market.** The improvement in market "expectations" has played a positive role in supporting the capital market.

The participation of 20 institutions in the first SFISF operation shows that institutions are highly motivated to participate, which is conducive to the promotion of subsequent operations. With the increase in the number of participating securities, fund and insurance companies, it will provide an effective source of new funds for the stock market, further **consolidating the bottom area of the capital market since 9.24**, realizing the goal of stabilizing the capital market, and laying a solid foundation for high-quality economic development.

2.3 Short-term Stock Market Volatility

As shown in Figure 4, on Sept. 24th, the SSE index rose 4.15%, breaking through the 20-day MA and approaching the 60-day MA improving market sentiment and risk appetite significantly (data is from wind). The performance of the index at several key time points of the SFISF policy presented in the figure **also reflects the short-term effectiveness of the tool**.

Figure 4. The volatility of the SSE Index over the last six months, with several key points of SFISF.

It can be seen that the market sentiment was high after the release of the policy package, sweeping away the previous slump. The rally leveled off after the National Day, but the SFISF related policies gradually came to fruition, and the stock market reacted with a certain uptrend every time there was a related specific policy issued. The long-term effect remains to be seen.

III. Policy Reforms

Based on the above analysis, it is not difficult to find that SFISF has a significant stimulus effect in the short-term, which is centrally due to the liquidity effects and the policy effects. From the perspective of boosting market confidence and releasing policy signals, the SFISF has achieved good results and the stock market has given a timely response. Therefore, there are no other reform proposals for the mechanism setting and specific rate design of this policy.

However, it should be noted that the swap facilitation tool is applied by institutions on their own, and the willingness of non-bank financial institutions to declare is ultimately affected by multiple factors, such as their expectation of the trend of the stock market, their own risk-sharing ability, and the cost of financing through the swap facilitation tool, which will determine the actual scale of incremental funding provided by SFISF to the stock market. For this tool to work in the long term, the focus should still be on the fundamentals of the stock market rather than on short-term stimulus. In particular, policies need to address the current lack of effective demand faced by the country, so as to effectively improve the overall economic situation and achieve stability. Based on this I would like to propose the following three policy improvements:

(1) **Adherence to the Nine New Guidelines**, long-term support for listed companies to improve their operating conditions, and the release of more quality fundamental information. Only when the fundamentals are favorable in the long run can the liquidity released by SFISF and other monetary policy tools effectively enter the stock market.

(2) In the short term, there is a need to release liquidity again through tools such as interest rate and quota cuts and, more importantly, **to further strengthen policy support signals**. Synchronize the second round of the SFISF approval process. The current SFISF release process is slow, and some maneuvering is needed to stimulate the market to accelerate the use of funds.

(3) **Fiscal policy needs to be stepped up.** Monetary policy first landing helps reduce the burden of debt servicing in the real economy, but to boost aggregate demand also needs other macro policies to add strength. Consumption can be further stimulated through subsidies, while enterprises are encouraged to go overseas to expand domestic and foreign demand. What we are still facing in the long term is a lack of effective demand, which needs to be further boosted by gradual easing.

It is worth mentioning that the above content of this assignment was completed on December 8^{th}. However, the Politburo meeting on Dec. 9^{th}, for monetary policy, specifically pointed out that a **moderately loose monetary policy should be implemented next year** (revisited for the first time in 14 years). This is entirely consistent with my second part of policy adjustment thinking!